The Smart Sell

Using the right approach to energy efficiency upgrades can mean the difference between success and failure for a home performance contractor.

by Steve Tratt

STEVE TRATT

Giant icicles indicate significant air leakage in this building.

Peruse any magazine rack and it's a trend that can't be missed: Going green has never been more hip. Cover after cover declares inside expertise on how to be more environmentally friendly. And the focus of these stories is often the home. Many building and renovation industry professionals see this trend as a new arena for sales and a fresh way to market their products and services. It seems admirable, but it's more complex than one might realize.

Homeowners are a fragmented market and should be treated as such. To the Building Performance Institute (BPI), they fall into three groups. The first group will do the right thing with or without financial incentives. The second group will never do anything to improve their home's performance even if incentives are in place. The third, and largest, group is on the fence—they can be persuaded to invest if they are given the right motivation.

So how do home performance contractors take advantage of the current favorable climate toward energy efficiency retrofits and persuade that third group to invest in their products? First, let's examine some of the flaws in the current marketplace. Second, let's look at some solutions and sales techniques that reflect the desires of these three groups.

The Downside of Green Fever

The government sees the building construction market as a prime place to cut back energy use and dependence on imported natural resources. It sees homes as a valuable place to pursue this objective, so DOE creates incentives in the hope of persuading the public to reduce consumption. However, incentive programs can create as many problems as they solve, especially when it comes to homeowners, says Tony Woods, president of Canam Building Envelope Specialists, Incorporated, in Mississauga, Ontario, Canada. "The trouble with government incentive programs is the frequent lack of enforceable prioritization," says Woods. "Haphazard renovation frequently leads to problems. Serious problems. And such occurrences are keeping companies, like my own, very busy and profitable solving them. We see the same picture time and again, whereby a homeowner is encouraged to install, and allowed to choose, measures which progressively tighten the house to a point where moisture problems occur." (For more from Woods, an experienced and successful contractor, see "Put a Fly in the House.")

A green renovation often focuses only on the "beautiful," or lower, part of the home—the part that can be seen by the naked eye. It often involves installing new windows, new doors with magnetic weatherstripping, and maybe even new siding. (The new siding is usually installed with an air barrier wrap and foam board). Owners who are also taking advantage of energy efficiency incentives like those offered by DOE in 2006–07 may also choose to upgrade the furnace to a more efficient model.

This is when things can get ugly. Replacing the furnace is often accompanied by blocking off the chimney, a move that takes away a prime source of ventilation in the home. All of these initiatives combined have the unfortunate result of incrementally tightening the home without providing a new source of ventilation.

Another problem arises when mineral fiber insulation is installed in the attic, usually without air sealing the attic floor. This makes the attic colder without stopping the increase in volume of warm, moist air from moving upward, driven by the increasing stack pressures below. This situation is made worse when other renovations are made at the same time—especially bathroom or kitchen renovations. Such upgrades as excessive recessed lighting fixtures, exhaust fans connected only to the attic, and numerous wall fixtures allow copious amounts of air to move upward (see "Leaky Downlights Waste Home Energy,"

Put a Fly in the House

Over the years that he has been in the business of home performance contracting, Tony Woods has seen what motivates people to invest in a home improvement retrofit, and it is not necessarily the numbers—the efficiency or the energy savings. "When you sell energy efficiency for the sake of it, it doesn't work," says Woods. Often the incentive is simply to see an end to a given problem. For Woods, when he solves a building's problem, the byproduct of the solution happens to be energy efficiency. But energy efficiency is certainly not the primary motivation for the customer. As Woods says, "The numbers don't really matter. As a home performance contractor, you're saving energy. That's the business you're in. So in dealing with the problem, you are reducing energy consumption. We find the consumer doesn't use the word 'payback.' He doesn't spend money to save money."

CANAM BUILDING ENVELOPE SPECIALISTS, INC.

Tony Woods is president of Canam Building Envelope Specialists, Incorporated, in Mississauga, Ontario, Canada.

Granted, educating clients about the improvements to their comfort, their utility bills, and the environment is the smart way to stay ahead in the home performance contracting business. But behind the incentives, savings, and education lie some humorous truths of human nature.

"If you really want to turn a Canadian homeowner on, you put a fly in his house," says Woods. Every year, the fields in Ontario and outlying areas are breeding grounds for the cluster fly. When spring arrives and the fields thaw, these flies go straight to people's homes and get in. "Nothing annoys a Canadian more. He'll spend any amount of money to keep them out! How do you keep them out? You seal the house to block off the gaps, traps, and holes." Suddenly the homeowner isn't on the fence about weatherizing the home. The urgency is met. The home is tighter, fully inspected by the pros, and, by the way, is performing more efficiently. "We jokingly talk amongst ourselves in this profession about breeding Canadian cluster fly larvae," says Woods. Now there's a smart sell!

As a contractor, you should ask yourself, "What's the fly around this part of the world?" For one of Woods's customers, the fly was a bat that took up residence in the attic every year. This annoyance became the justification for a $15,000 retrofit of the whole house. The annual bat was kept out, and the customer happens to live now in an efficient house. (Long after the fact, the customer thought to ask if there would be any savings in utility bills. He discovered that the savings would run to $200 per month.) But what mattered more to the customer was solving the issue of the annual bat… at any cost! Energy efficiency was the justification, a word that comes up frequently for Woods in his business.

Woods knows that homeowners spend money on beautiful things, and things they have to spend money on. Another bat in the attic, especially in multifamily homes such as condominiums, is cigarette smoke. People spend whatever it takes to keep cigarette smoke, other odors, and dust away from themselves and their families. "How do you deal with smoke? You seal the air paths. We are constantly being called into multifamily houses to deal with the problem of spillover of odors from unit to unit … and the side effect is energy efficiency. It's a wonderful market, quite frankly."

Woods has no end of humorous anecdotes that reveal as much about building science as about human nature. The stack effect creates all kinds of problems for homes and their owners when the lower levels are sealed off, but the ceilings are not. "We're becoming a nation of chimney livers," says Woods. "We're turning our houses into chimneys because we're dealing with the perimeters, the beautiful parts of the house, but we're not dealing with the top of the house properly. That's why in cold-weather areas, ice damming, which used to be here every ten years, is now here every year. Ice damming is caused by snow melting on roofs and refreezing down at the edge of the roof, which makes water back up under the shingles and so on, causing damage such as sagging roof. … It occurred in the right weather conditions every ten years." Recent years have seen people sometimes improperly sealing their homes, "By tightening the lower floors they are increasing the warm air in the house, and it's heading up because of the stack effect … and we're getting more and more problems because it's melting the bloody snow on the roof." When Woods is called in to fix this problem, he addresses other causes of energy inefficiency, which in turn lowers the utility bills. This is another justification for the retrofit—but, again, the sagging roof couldn't care less about energy efficiency.

And then there is the greed motivation, in which the homeowner is enticed by financial incentives—bribes, as Woods jokingly calls them—to save on retrofits, or on purchasing certain appliances, the justification or end result of which is energy savings. In the end, more than educating our houses, we need to educate our consumers. It often comes down to a social issue. Woods has seen two families living side by side in identical houses, whose utility bills showed a difference in energy consumption of 600%—all because of lifestyle. Those for whom money was no object—and who hadn't grown up in an area with no available heat in winter—used the appliances to keep warm, while the other household bundled up in layers of clothing. Where one person puts a sweater on in the winter, another cranks up the thermostat and writes a check when the bill arrives. What will be the motivation for this customer to change that habit? Perhaps we will invent the perfect fly to encourage him. What are the bats in your customers' attics?

—Leslie Jackson

Leslie Jackson is ***Home Energy****'s new associate editor.*

p. 22). This promotes condensation, mold growth, and ice damming in cold climates.

"The insurance industry has deemed ice damming as a 'catastrophic loss' and it is forecast that 20% of residential roofs will prematurely rot because of this," explains Woods. "The measures involved in correcting situations like these actually result in reduced energy consumption. They include sealing the attic to stop warm moist air entering, and adding more insulation to help keep it cold and dry. Crawlspaces, especially those with earth floors, will be sealed and insulated to control the ingress of the incredible amount of moisture that they can supply." In effect, the crawlspace becomes part of the conditioned space of the home.

Another troubling aspect of the current marketplace is the sales technique of using fear and overstated claims of return of investment (ROI) to sell a product or service. Warning consumers that energy prices are going to increase in the future, or insinuating that clients will save more than is likely if they buy our product, is a dangerous game. If the price hikes or the savings never materialize, not only may homeowners be disappointed in our product, but they may try to discourage other people from buying it.

One of the central problems in both of the above scenarios for many contractors is that they focus the sale on specific aspects of the home without taking into account whole-house performance. But partial retrofits often don't live up to their savings promise because they ignore the building-as-a-system approach. For instance, weatherizing windows and doors contributes to a certain percentage of energy savings. However, if only the windows and doors are retrofitted and nothing else, less will be saved than if the house's systems are considered as a whole. If we want to sell energy efficiency successfully, we have to look at the true definition of the term and use it as the basis for sales techniques and initiatives.

Building Trust

BPI

Larry Zarker is the CEO of the Building Performance Institute.

The Building Performance Institute (BPI) provides professional accreditation for the contracting companies that do home performance work. Essentially, it ensures that companies offering home performance services have the trained and BPI-certified staff to deliver high-quality home performance services for their customers. BPI follows up with independent, third-party quality assurance to verify that the work of these contractors conforms to BPI's national standards. So CEO Larry Zarker is poised to see the field from afar as well as up close. BPI is in the business of selling the added value of BPI accreditation and quality assurance to contractors. What is the smart sell for BPI? Often, it is word of mouth among the people in the trades. At the recent National Remodelers Conference in Las Vegas, Bill Asdal, a national leader in the remodeling industry, said in a presentation, that he needed to go through the Building Analyst and Envelope certifications so that he had the skill set to "look his customers in the eyes and tell them truthfully that, yes, they would see a result in energy efficiency, comfort, health and safety by investing in home performance services." Zarker notes that after this presentation, the BPI booth was flooded with conference-goers, interested in signing up for the trainings provided by BPI Affiliate organizations.

Zarker's favorite anecdote of a successful sell to a homeowner was told to him by Darin Hughes, who described his first two home performance contracts after he transitioned from a successful career as a remodeler. On both occasions, Hughes was asked to find what he describes as the "pain points" in the home, which in these cases were the homeowners' inability to keep the second story of the house cool in the summer or warm in the winter. When the services had been completed, the invoice paid, and the customers well on their way to comfort, the contractor returned for a follow-up test to see if the efficiency numbers and the customers' comfort matched. On both occasions the contractor and his entire crew were met with "big bear hugs." That's a happy customer.

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Putting the Needs of Homeowners First

Although energy efficiency is often promoted primarily as a way to save money, it really should be approached using the definition of an "energy-efficient home" as one that is healthy, safe, durable, and comfortable while costing as little as possible to operate. Whether we're talking about government-created incentives or our own services and sales, the best way we can achieve true energy efficiency is by putting the homeowner's needs first. With this goal in mind, incentives should be tied to comprehensive home assessments performed by certified professionals—only then is it likely that homeowners will achieve a real reduction in energy use. For instance, if a homeowner wants to take advantage of an HVAC incentive, but has a leaky attic, then the incentive monies should also allow for fixing the attic and if necessary for improving the mechanical ventilation.

Home performance contractors might sell more of their services by taking the focus off the monetary benefits of an energy efficiency retrofit and focusing instead on this definition of an energy-efficient home. Simply talking about savings is not a successful sales strategy. "You do something and you save money—you don't save some money and then do something," says Woods. "You have to sell retrofits this way because in reality, if you do the math, you are not going to have a short-term ROI. Retrofitting houses is

Like the building shown in the photo on p. 32, this building has air leakage problems that caused ice damming. Repairing and improving the building envelope corrected these problems.

not a fast return, which is one of the problems with selling the service. We consistently find that the homeowner is more interested in fixing the house's problems."

Selling ROI is tough, because home performance improvements, such as air sealing, can save only so much per year on the energy bill. People are unlikely to be pleased to hear that it will take 20 years to pay off a retrofit.

Saving energy is more a justification for upgrading and retrofitting the home than a primary motivation for doing so. If we want to sell our service effectively, we have to do what Woods likes to call "finding the pain." What is the homeowner's true motivation for seeking a retrofit?

Larry Zarker, acting CEO of the Building Performance Institute (BPI), says that interviewing the homeowners properly in their own homes is one of the best ways to start the process. "Our accredited contractors have found that there are different drivers in the customer's mind," says Zarker. "They may be uncomfortable, they may have drafts, they may have energy problems, they may have hot rooms in the summer and cold rooms in the winter—there are various reasons why they would involve a contractor. You can't know the reason until they contact you or agree to have you come in." Essentially what the contractors do is sit down and talk to the client and find out what's really going on. (For more on BPI, see "Building Trust.")

There are many ways we can work with the homeowners to find their hidden concerns—problems they have no idea are related to the energy efficiency of their homes. Ask lots of questions: What sparked the phone call to your company? Was it a particularly high utility bill or a particularly cold draft? Look around the home—what kind of fixes do they have in place already? Is there a humidifier in the bedroom or a rolled up carpet in front of the basement door? By finding out what bothers the homeowner and addressing it, we are indeed selling energy efficiency—we're not focusing on just one aspect of it.

Another key aspect of this homeowner-first approach, says Zarker, is to show the client what the problems are as we find them. "The contractors that we are working with at BPI are very focused on solving their customer's problems, so they go in with the equipment that will help find the problem areas and show the customer exactly how the house is performing. And they may be doing that with the blower door, or smoke stick, or doing it with thermal imaging equipment." This way the homeowner actually sees where the problem areas are and what needs to be done.

Involving the homeowner and making the problems visible in this way is a wonderful strategy, one that invariably works. If we can physically show homeowners why their living room is cold, they are going to end up much more educated, they are likely to go for our services, and they will ultimately end up satisfied.

It has been said that comfort is a state of mind. If the things that make homeowners uncomfortable—whether it's a guilty environmental conscience, high utility bills, health concerns, or durability issues—are taken away, we are in the unique position of promoting the benefits of energy efficiency without even really trying. And in the process, we are converting that uncertain majority of homeowners who may question whether an investment in retrofit is right for them or not.

Steve Tratt is national sales manager for ZERODRAFT and a Canadian affiliate for BPI.

For more information:

Find out more about ZERODRAFT and Canam Building Envelope Specialists, Incorporated, by visiting www.canambuildingenvelope.com.

Learn about the Building Performance Institute at www.bpi.org.